

Making Your Money Work For You

The Effect of Compound Interest

Compound interest is the term used to describe how our money can grow on a cumulative basis over time. This is because we don't just earn interest on the amount of our initial deposit, but also, on the interest that we've earned in previous years (i.e. we earn interest upon our interest). Over the medium to long term, the beneficial effects can be significant, as illustrated in the table below (based on a £100,000 deposit):

Year / %	2%	3%	4%	5%	6%	7%
1	£102,000	£103,000	£104,000	£105,000	£106,000	£107,000
5	£110,400	£115,900	£121,700	£127,600	£133,800	£140,300
7	£114,900	£123,000	£131,600	£140,700	£150,400	£160,600
10	£121,900	£134,400	£148,000	£162,900	£179,100	£196,700
20	£148,600	£180,600	£219,100	£265,300	£320,700	£387,000
30	£181,100	£242,700	£324,300	£432,200	£574,300	£761,200

The Effect of Taxation

To really make our money work for us, in addition to seeking a higher rate of return, we can explore options for sheltering it from tax. The tax savings we make will also benefit us on a cumulative basis, as illustrated below:

Higher Rate Tax - 40%

Year / %	2%	4%	6%
1	£101,200	£102,400	£103,600
5	£106,240	£113,020	£120,280
7	£108,940	£118,960	£130,240
10	£113,140	£128,800	£147,460
20	£129,160	£171,460	£232,420
30	£148,660	£234,580	£384,580

Tax Free Growth

2%	4%	6%
£102,000	£104,000	£106,000
£110,400	£121,700	£133,800
£114,900	£131,600	£150,400
£121,900	£148,000	£179,100
£148,600	£219,100	£320,700
£181,100	£324,300	£574,300

There are several ways of sheltering our money from tax, including the use of ISAs, pensions and tax-efficient investments. The above figures are for illustration purposes only.

Further Information & Support

For help with getting the best return on your savings or investments and reducing your exposure to tax, please contact John Castle:

0203 633 5682 / 01245 526 328
john@castlefinancialplanning.co.uk
www.castlefinancialplanning.co.uk

The independent financial advice we provide is fully guaranteed by New Leaf Distribution Ltd. We also carry professional indemnity insurance with a maximum claims limit of £2m per claim.

